

Jharkhand State Electricity Board & Others v. M/s Ramkrishna Forging Limited

Supreme Court of India · Two-Judge Bench · 30 April 2021 · AIR 2021 SC 2184 · Civil Appeal No. 6145 of 2010 · **Appeal dismissed (reduction-of-load application deemed allowed under the Regulations)**

HEADNOTE

Where a consumer's sanctioned load for a single electricity connection is enhanced from time to time and a fresh agreement is executed for each enhancement, those 'fresh agreements' are, for the purpose of the Supply Code (Jharkhand Electricity Supply Code Regulations, 2005), merely supplementary agreements amending the initial agreement by which the connection was granted; the Code allows contract demand to be varied even by written communication and does not require a fresh agreement. Accordingly, the proviso to Regulation 9.2.1 (no reduction of load before expiry of the initial period of agreement) runs from the initial agreement, not the last enhancement agreement; and the Regulations are to be liberally interpreted in favour of the consumer against a monopoly supplier.

HOLDING-UNITS

HOLDING-UNIT · JH-2005::9.2

Reduction of contract demand — the 'initial period' runs from the initial agreement

QUESTION

For the proviso barring reduction of load before the 'initial period of agreement', is the initial agreement or the last load-enhancement agreement to be reckoned?

HOLDING

The initial agreement. Enhancement 'fresh agreements' for the same connection are merely supplementary amendments of the initial agreement (contract demand can be varied even by written communication, Reg. 2(l); reduction itself is by supplementary agreement, Reg. 9.2.6). So the three-year 'initial period' runs from the initial agreement (2004), not the last enhancement (2007); the 2007 reduction application was beyond it and is deemed allowed under Reg. 9.2. The Regulations are liberally construed for the consumer. ¶ 12-18, 21

LIMITING FACTS

Load was enhanced 325 -> 1325 -> 3500 -> 4000 KVA by successive agreements (last 7.7.2007); the reduction application (20.9.2007) was rejected as within three years of the 2007 agreement and treated as a determination of the agreement under Clause 9B.

PRINCIPLE TAGS

code-liberally-constructed-for-consumer Supply Code regulations, being terms dictated by a monopoly supplier, are to be liberally interpreted in favour of the consumer; load-enhancement agreements are treated as continuations of the initial agreement. ¶ 15-16

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — VALIDITY OF THE PROVISIO TO REGULATION 9.2.1

The Court did not decide whether the proviso to Reg. 9.2.1 is discriminatory, arbitrary or against public policy (as the High Court had held); it decided on the initial-agreement construction. ¶ 19

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Bihar State Electricity Board v. M/s Green Rubber Industries</i>	On minimum-guarantee charge (under the Electricity Act, 1910).	Distinguished on facts as relating to minimum-guarantee charge under the old 1910 Act.	Petitioner	Distinguished

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
(1990) 1 SCC 731 Supreme Court				
<i>Orissa State Electricity Board v. Orissa Tiles Limited</i> (1993) Supp 3 SCC 481 [137737414] Supreme Court	On minimum-guarantee charge (under the 1910 Act).	Distinguished on facts as relating to minimum-guarantee charge under the old 1910 Act. ¶ 17	Petitioner	Distinguished
<i>Andhra Steel Corporation Ltd. v. A.P. State Electricity Board</i> (1991) 3 SCC 263 Supreme Court	On minimum-guarantee charge (under the 1910 Act).	Distinguished on facts as relating to minimum-guarantee charge under the old 1910 Act. ¶ 17	Petitioner	Distinguished
<i>Jharkhand State Electricity Board v. Laxmi Business and Cement Company Pvt. Ltd.</i> (2014) 5 SCC 236 Supreme Court	On minimum-guarantee charge.	Distinguished on facts as relating to minimum-guarantee charge. ¶ 17	Respondent	Distinguished

SCJ-035 · Jharkhand State Electricity Board & Others v. M/s Ramkrishna Forging Limited · AIR 2021 SC 2184 · Supply Code Jurisprudence

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.